

*Triumph of the Optimists* (available through Morningstar as the Dimson, Marsh, and Staunton module but requires a subscription). They represent the best-, middle-, and worst-case scenarios for the main asset classes of sixteen countries from 1900-2014. They have since updated their database to include 23 countries with results in the Credit Suisse reference link above. All return series are local real returns and displayed as a log graph (except the last one). U.S. dollar based returns are near identical.

First, here are the best-, middle-, and worst-cases for returns on your cash.

Figure 4 shows that leaving cash under your mattress is a slow bleed for a portfolio. Germany is excluded after the first series as it dominates the worst-case scenarios (in this case, hyperinflation). Inflation is a major drag on returns. When it gets out of control, it can completely wipe out your cash and bond savings. So you mattress stuffers – on average you would have lost about 4% a year by keeping your money at home.